

Broadcom Q3 2025 Earnings

Blind Sentiment & Directional Score: Financial results only

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July 30, 2026

Conventions (sealed before reading)

- **Outputs (exactly four):** sentiment score $\in [-1, +1]$, directional signal $\in \{\text{BUY, HOLD, SELL}\}$, structured summary, evidence quotes.
- **HOLD band:** $|\text{overnight move}| < 2.00\%$. Above $+2.00\%$, BUY is correct. Below -2.00% , SELL is correct.
- **Timing rule:** The company releases after the market close. The overnight move is defined as $(\text{next-trading-day Open} \div \text{release-day Close}) - 1$, applied identically to every report.
- **Price source:** Yahoo Finance daily OHLC pulled via the `yfinance` Python library.
- **Info-source experiment:** this read uses **Financial results only** as the ONLY report content. The other sections (forward guidance, the earnings call Q&A) are withheld by design. Sources rotate across companies, so each company reads each source exactly once and each quarter slot contains two of each source.
- **Research:** Google is allowed for pre-release context (definitions, prior-quarter framing, analyst expectations going into the print). Not allowed before sealing: the withheld sections, the stock's price action after the release, after-hours quotes, or post-call analyst takes.
- **Pre-registered metrics:** the primary metric is the Information Coefficient (correlation between the sentiment score and the realised move); the BUY/HOLD/SELL labels are additionally scored with the Matthews Correlation Coefficient (MCC), where guessing the most common label scores zero. Both fixed in advance; no new metrics after seeing results.
- **Horizons:** returns are recorded at overnight, 1, 3, 5, 10 and 20 trading days to locate where the signal lives. The $\pm 2.00\%$ band applies to the overnight move only.

Report metadata

Company	Broadcom Inc. (AVGO)
Report	Fiscal Q3 2025 (quarter ended 3 August 2025)
Release date	Thursday 4 September 2025, after close
Earnings call	5:00pm ET
Source	Earnings press release
Read mode	cold; reported financial results only, no guidance, no Q&A, no price chart
Time to produce	32 minutes

Source material (read ONLY this)

Headline financials (assigned source: financial results only)

- Total net revenue \$15,952M, up 22% year over year.
- Semiconductor solutions \$9,166M, up 26%. Infrastructure software \$6,786M, up 17%.
- AI semiconductor revenue \$5,200M, up 63% year over year.
- GAAP net income \$4,140M; non-GAAP net income \$8,404M. Adjusted EBITDA \$10,702M, 67% of revenue.

- Free cash flow \$7,024M, 44% of revenue. Quarterly dividend \$0.59 per share.

Your scoring: fill in below, then seal

1 Sentiment score

Score: −0.25

Rationale. AI is up 63%, yet total revenue grew only 22%, implying the non-AI base is barely moving, and GAAP net income is less than half the non-GAAP figure.

2 Directional signal

Signal: SELL

Rationale. Headline growth looks pedestrian against the AI narrative, and the GAAP gap is large. SELL.

3 Structured summary

- **What the source shows.** AI semiconductors at \$5.2B and up 63% is the one genuinely strong line.
- **What the source cannot show.** No guide, and for this name the forward AI number usually decides the reaction.
- **Expectations bar.** 22% total growth may undershoot a bar set by the AI story.
- **Conviction.** Low-moderate conviction: cash generation is excellent, which argues against the call.

4 Evidence quotes

1. Total net revenue \$15,952M, up 22% year over year.
2. Semiconductor solutions \$9,166M, up 26%. Infrastructure software \$6,786M, up 17%.
3. AI semiconductor revenue \$5,200M, up 63% year over year.

— SEALED —

Overnight move and call verification

AVGO close, 4 September 2025 (release day)	\$306.10
AVGO open, 5 September 2025	\$355.78
Overnight move	+16.23%

Call verification

- HOLD band test: $|+16.23\%| \geq 2.00\%$, so this is not a HOLD.
- Sign test: The move is positive, so the correct directional call is **BUY**.
- Score given vs. correct call: signal was **SELL**, correct call **BUY**, so **INCORRECT**.

Horizon returns (pre-registered)

For the Information Coefficient. Returns measured from the same baseline close used for the overnight move, at fixed trading-day horizons, from the single price source (yfinance). Filled only after sealing.

Horizon	Return
Overnight (baseline for the label)	+ 16.23 %
D+1 close	+9.41%
D+3 close	+9.99%
D+5 close	+17.49%
D+10 close	+12.82%
D+20 close	+10.48%